

Lending Laws Cheat Sheet

The Consumer Credit Protection Act (1968)

The Consumer Credit Protection Act (CCPA), created in 1968, includes the **Truth in Lending Act (TILA)**. The intent of the legislation was to safeguard the consumer in the use of residential credit by requiring full disclosure of the terms and conditions in any offers of credit. TILA requires lenders to make disclosures that allow consumers to compare the costs of making a purchase using credit from different lenders, and to compare the cost of using credit with the cost of using cash.

Mortgage lenders must follow TILA disclosure requirements. The statute is implemented through the rules codified in Regulation Z, which applies to all advertising that promotes credit. For the licensee, this means any real estate advertisements that include credit terms. Regulation Z covers all of the ins and outs about who, when, and what needs to happen to properly disclose credit in an advertisement. In general, the goals are to make credit information "clear and conspicuous" to consumers and to allow informed decision-making.

An ad can show the APR without requiring all of the other credit terms to be disclosed. That's because the APR by itself gives consumers a simple way to compare loans. But if certain other "trigger" terms are included in the ad, this would require the full disclosure of all terms.

These "trigger" terms are:

- Down payment
- Payment amount
- Number of payments
- Interest rate (other than APR)

If the ad simply mentions financing in a general way, such as "low down payment" or "easy financing," no additional disclosure is required.

In addition to the advertising rules, lenders must also provide consumers with a disclosure statement within three days of making their loan application. This disclosure must include the actual annual interest rate on the loan, the APR, and any finance charges that apply. For borrowers who are either refinancing or obtaining a new loan on their current residence, the disclosure statement must also include the right to rescind up to three days after closing on the loan.

TILA only applies to residential mortgages.

Equal Credit Opportunity Act (ECOA)

- Regulation B
- Prohibits discrimination in financing based on several protected classes:
 - Race
 - Color
 - Religion
 - National origin
 - Sex
 - Marital status
 - Age (over the age of 18)
 - Dependence on public assistance

Real Estate Settlement Procedures Act (RESPA) (1974)

- Enacted by the U.S. Department of Housing and Urban Development (HUD).
- Prohibits illegal kickbacks and referral fees.
- Covers loans on one-to-four-family residential properties (including loan assumptions, refinances, home improvement loans, and equity lines of credit).
- The lender must provide the borrower with a written disclosure of estimated settlement costs.

Community Reinvestment Act (1977)

- Lenders must offer affordable loans to their communities' low- to moderate-income individuals.
- Lenders must prepare a statement that shows how they've invested in low-income and rehabilitation efforts.
- The statement must:
 - Include the community's geographic boundaries.
 - Identify reinvestment credit offered.
 - Include comments from the public about how the lender is doing in meeting the community's needs.
- Involves federal regulatory review by a federal financial agency, such as:
 - Comptroller of the Currency

- Federal Reserve's Board of Governors,
 - Federal Deposit Insurance Corporation (FDIC)
 - Office of Thrift Supervision
- Lenders must publicly post that they are subject to this review, and make the results of that review public.

Two Qualified Mortgage Types

Qualified Mortgage with Safe Harbor status

- Meets all criteria for a qualified mortgage
- Consumer can't later claim that the lender didn't comply with the ability to repay requirements
- Lower-priced loan because the lender assumes less risk
- Prime loan (as opposed to subprime)
- Offers borrower the greatest legal certainty that the lender is complying with the ability-to-repay rule. (However, the borrower can legally challenge a lender if that borrower believes the loan doesn't meet the definition of a qualified mortgage.)

A qualified mortgage with Rebuttable Presumption

- Higher priced loan because the lender assumes more risk
- Subprime loan (usually offered to consumers who have insufficient or marginal credit history)
- Lenders are presumed to have verified the borrower's ability to repay the loan
- The borrower in default must show income/assets were insufficient to meet living expenses at the time the loan was granted

Qualified Loan Characteristics

In order to be considered a "qualified loan," the loan must have the following characteristics:

- **Meets the ability to repay rule.** Prior to granting a loan, the lender has made a good faith, reasonable determination of a consumer's ability to repay the loan. Lenders who do this are granted certain protections from liability. At the bare minimum, lenders must consider the following factors:
 - Current or reasonably expected income or assets
 - Current employment status
 - The monthly payment on the covered transaction (e.g., mortgage payment)
 - The monthly payment on any simultaneous loan or mortgage on the same property
 - The monthly payment for mortgage-related obligations
 - Current debt obligations, alimony, and child support
 - The monthly debt-to-income ratio or residual income
 - Credit history
- **The mortgage is approved based on maximum monthly charges** in the first five years (not on low "teaser" rates)
- **The loan should have no "toxic loan" features, which include:**
 - Payback terms longer than 30 years
 - Negative amortization payment option (where the principal amount increases)
 - Interest-only payments
 - Balloon payments
 - Lender fees and points that total more than 3% of the loan (which includes payments to all affiliates of the lender as well)
- **The borrower's debt-to-income ratio is no more than 43%.** To calculate, divide monthly debt payments by gross monthly income

Disclosures & Regulation Z

- If an advertisement states a finance charge rate, the rate **MUST** be stated as "**annual percentage rate,**" **using that term**, rather than saying "APR." (If the annual percentage rate may be increased after the beginning of the mortgage, the ad must also state that.)
- If advertisements include any financing terms other than the APR, all terms must also be disclosed.
- Can speak in general financing terms ("FHA financing available") if no specifics are mentioned
- Must disclose within three days of loan application:
 - Actual APR - Finance charges ("APR" must be written out as "annual percentage rate.")
 - Amount financed
 - The total amount paid to principal and interest
 - Borrowers re financing or getting a new loan on a current home must be given the right to rescind the loan up to three days after closing on the loan

What this means to real estate licensees

Self-employed and others who can't prove income will have trouble qualifying for loans under the qualified mortgage rules.

